

16. 9:00 AM CASE NUMBER: C25-02664
CASE NAME: RACHEL LASSETER VS. MOUNTAIN WEST INDUSTRIAL, LLC
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY: MOUNTAIN WEST INDUSTRIAL, LLC
TENTATIVE RULING:

Introduction

Before the Court is Mountain West Industrial, LLC (“Mountain West” or “Defendant”) Motion To Compel Plaintiff Rachel Lasseter (“Plaintiff”) to submit the claims she has asserted in her complaint before this Court to mandatory final and binding arbitration in accordance with the arbitration agreement between Plaintiff and the Defendant. Defendant further requests that this Court stay this action pending the resolution of arbitration.

Plaintiff argues that Defendant Mountain West’s Arbitration Agreement is unenforceable because it is unconscionable.

For the reasons described below, Defendant Mountain West’s Motion to Compel Arbitration of Plaintiff’s individual claims are **granted**. The Parties are ordered to submit this matter to arbitration in accordance with the terms of the Arbitration Agreement. The Court orders this matter to be **stayed in full**, pending conclusion of the arbitration.

Procedural Background

Plaintiff filed this action (the “Complaint”) on September 16, 2025, asserting individual and representative class action claims for (1) Failure to Pay Minimum Wage for All Hours Worked (Lab. Code §§ 1182.12, 1194, 1194.2, 1197 and 1197.1); (2) Failure to Pay Overtime Compensation (Lab. Code §§ 1194 and 1198); (3) Failure to Provide Meal Periods (Lab. Code §§ 226.7, 512, and IWC Wage Orders); (4) Failure to Provide Rest Periods (Lab. Code §§ 226.7, 512, and IWC Wage Orders); (5) Failure to Indemnify Necessary Business Expenses (Lab. Code § 2802); (6) Waiting Time Penalties (Lab. Code §§ 201-203); (7) Failure to Provide Accurate Wage Statements (Lab. Code § 226); (8) Violation of Unfair Competition Law (Bus. & Prof. Code § 17200, et seq.); and (9) Private Attorneys General Act (Lab. Code § 2698, et seq.). (Complaint ¶¶ 33-98.)

Plaintiff brings the first through eighth causes of action individually and as a class action on behalf of herself and certain current and former employees of MWI. (Complaint ¶ 2.) Plaintiff brings the ninth cause of action as a representative action under PAGA to recover civil penalties. (Complaint ¶ 3.)

Defendant filed the Motion to Compel Arbitration on November 7, 2025.

Factual Background

Defendant Mountain West Industrial, LLC (“Defendant” or “Mountain West”) employed Plaintiff Rachel Lasseter (“Plaintiff” or “Ms. Lasseter”) as a non-exempt employee from approximately June 2, 2023, to July 18, 2025. (Complaint, ¶ 8.) On May 16, 2025, two years into her employment and two months before her termination, Plaintiff signed an arbitration agreement (the “Agreement”) presented by Defendant as a condition of her continued employment. (Declaration of Tyler McMullin

("McMullin Decl."), Ex. A., p. 9.)

Legal Standard for Motions to Compel Arbitration

A motion to compel arbitration "is in essence a suit in equity to compel specific performance of a contract." (*Cal. Teachers Ass'n v. Governing Bd.* (1984) 161 Cal.App.3d 393, 399, citation omitted.) "A party who files a motion to compel arbitration 'bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.'" (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580 quoting *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) Whether or not the arbitration clause is governed by federal law, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413 ("Rosenthal").)

Analysis

Defendant's Initial Burden

For arbitration to be compelled, the Court need only determine that (1) a valid agreement to arbitrate exists; and (2) the agreement to arbitrate encompasses the dispute at issue. (*Howsam v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.)

Here, Defendant Mountain West provides a copy of the Arbitration Agreement. (McMullin Decl., Ex. A.) Plaintiff does not dispute that this is a copy of the Contract or the Arbitration Agreement.

Defendant asserts that the scope of the Arbitration Agreement Plaintiff signed covers, "any and all controversies, claims, or disputes that I may have with the Company (including any Company employee, officer, director, trustee, shareholder or benefit plan of the Company, in their capacity as such or otherwise), arising out of, relating to, or resulting from my employment or relationship with the Company" between Plaintiff and Defendant Mountain West. (McMullin Decl. Ex. A.) Plaintiff does not dispute the scope of the Arbitration Agreement.

Defendant Mountain West has met its initial burden to establish the existence of the Arbitration Agreement. Accordingly, the burden now shifts to Plaintiff to present facts showing why the Arbitration Agreement should not be enforced.

Unconscionability

The "unconscionability doctrine 'has both a procedural and a substantive element.'" (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.) "The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.'" (*Ibid.* quoting *Pinnacle, supra*, 55 Cal.4th at 246.)

"Both procedural and substantive unconscionability must be shown for the defense to be established, but 'they need not be present in the same degree.'" (*OTO, L.L.C.* 8 Cal.5th at 125.) "Instead, they are

evaluated on a 'sliding scale.'" (*Ibid.*) "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to 'conclude that the term is unenforceable.'" (*Ibid.*) "Conversely, the more deceptive or coercive the bargaining tactics employed, the less substantive unfairness is required." (*Ibid.*)

"The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Ibid.* quoting *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 912.)

Procedural Unconscionability

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra*, 8 Cal.5th at 126.) "Oppression arises from an inequality of bargaining power that results in no real negotiation and an absence of meaningful choice." (*Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846, 853.) Surprise, for purposes of procedural unconscionability, "involves the extent to which the supposedly agreed-upon terms are hidden in a prolix printed form drafted by the party seeking to enforce them." (*Ibid.*)

Minimal Oppression

A procedural unconscionability analysis 'begins with an inquiry into whether the contract is one of adhesion.'" (*OTO, L.L.C., supra*, 8 Cal.5th at 126 quoting *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) "An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.'" (*Ibid.* quoting *Baltazar v. Forever 21, Inc.* 2016) 62 Cal.4th 1237, 1245.)

Plaintiff argues that the Arbitration Agreement is procedurally unconscionable under the 'oppression' analysis because it is a contract of adhesion and in support of her argument points out that Defendant presented Plaintiff with the Agreement almost two years into her employment, after she was entrenched in her role and dependent on the job effectively presenting Plaintiff a coercive choice: sign or risk losing her livelihood. (Oppo at p. 3: 22-28.)

Defendant points out that California courts, however, have rejected this position, recognizing the "adhesive aspect of an agreement is not dispositive." (*Serpa v. Cal. Surety Investigations, Inc.*, (2013) 215 Cal.App.4th 695, 704.) "When . . . there is no other indication of oppression or surprise, 'the degree of procedural unconscionability of an adhesion agreement is low, and the agreement will be enforceable unless the degree of substantive unconscionability is high.'" (*Id.*)

Thus, at most, any procedural unconscionability is minimal, requiring a heightened showing of substantive unconscionability.

Substantive Unconscionability

Substantive unconscionability may be found where the substantive provisions of the agreement are so overly harsh or unreasonably favorable to the more powerful party that they undermine its neutrality. (*Sanchez, supra*, 61 Cal.4th at 910-11, 913; *Armendariz, supra*, 24 Cal.4th at 117.) Substantive unconscionability focuses on the substantive fairness of the terms and whether the

agreement is “unfairly one-sided.” (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071; *Baltazar v. Forever 21, Inc., supra*, 62 Cal.4th at 1248.) “The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement.” (*Sanchez, supra*, 61 Cal.4th at 911-12.)

“A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be ‘so one-sided as to “shock the conscience.” [Citation omitted.]’” (*Pinnacle, supra*, 55 Cal.4th at 246 [quoting *24 Hour Fitness, Inc. v. Superior Court* (1998) 66 Cal.App.4th 1199, 1213].)

Lack of Judicial Review

Plaintiff posits that since the Agreement fails to mention whether the arbitrator’s decision can be appealed and because the arbitrator’s award is binding that the Agreement should be deemed substantively unconscionable. (Oppo at p. 4: 16-22.)

The California Supreme Court in *Pearson Dental* held that where non-waivable statutory rights are involved, courts have held that some kind of review must be permitted by the arbitration agreement. (*Pearson Dental Supplies, Inc. v. Super. Ct.* (2010) 48 Cal.4th 665, 680.)

Pearson Dental recognizes that “limited judicial review” is available when provided by statute which in that case was the prevalent sections of the California Code of Civil Procedure. (*Pearson Dental Supplies, Inc. v. Super. Ct.* (2010) 48 Cal.4th 665, 676.) Here, the FAA also provides such limited judicial review of arbitration awards in U.S.C §§ 10-11. In sum, statutory law for both the FAA and the CAA provides that there is a limited right to appeal an arbitrator’s decision regardless of the controlling Arbitration Agreement. (See *Hall St. Associates, L.L.C. v. Mattel, Inc.* (2008) 552 U.S. 576, 590; see also *Pearson Dental Supplies, Inc. v. Super. Ct.* (2010) 48 Cal.4th 665, 676.)

Pearson Dental further explained that “[a]ll we hold today is that in order for such judicial review to be successfully accomplished, an arbitrator . . . must issue a written arbitration decision that will reveal . . . the essential findings and conclusions on which the award is based” so that a review may be conducted. (*Pearson Dental, supra*, 48 Cal.4th at 678.) The subject Arbitration Agreement requires a written arbitration decision. (See McMullin Decl., Ex. A at p. 9.) The absence of a specific judicial review clause in the Agreement does not render this section substantively unconscionable.

Gives Arbitrator Authority to Determine Substantive Law

Plaintiff contends that an Arbitration Agreement may be deemed substantively unconscionable if it allows the arbitrator discretion to apply non-California law, particularly when such discretion results in the waiver of unwaivable rights under California statutes. (Oppo at p. 4: 25-27.)

However, Plaintiff’s stance is not supported by her two cited cases *Ajamian* and *Pinela*. *Ajamian* and *Pinela* found Arbitration Agreements unconscionable on the basis that the Agreements required the application of another state’s law which led to the waiver of California specific rights. (Opposition at pp. 4: 27-28 -5: 1-5.)

The facts in this case are distinguishable. Here, the Agreement states “the arbitrator shall have the authority [to] determine the substantive law that shall be applied to the claim(s) asserted.” (McMullin

Decl., Ex. A, p. 8.) The Agreement does not prohibit the arbitrator from applying California law. Rather, the Agreement establishes the arbitrator's delegated authority to determine and apply the applicable law in resolving the parties' dispute.

Plaintiff further contends that the provision therefore creates an impermissible risk that the arbitrator could select non-California law, or apply California law only in part, in a manner that limits or eliminates rights Plaintiff could not waive in court. (Oppo at p. 5: 15-17.) This contention is unsupported by any legal authority.

This contention does not render this section substantively unconscionable.

Overbroad as to Third Party Non-Signatories

Plaintiff also argues substantive unconscionability on the grounds that the Agreement extends arbitration rights beyond MWI to "any Company employee, officer, director, trustee, shareholder or benefit plan of the Company, in their capacity as such or otherwise" without requiring those same non-signatories to sign the Agreement or clearly assume reciprocal arbitration obligations. (Oppo at p. 6: 12-20.) Plaintiff relies on *Cook* for their argument. (Id.)

The *Cook* Court took exception to the lack of mutuality in the subject Arbitration Agreement because although the Agreement required Cook to arbitrate all disputes with USC and their related entities, the Agreement did not require USC's related entities to arbitrate their claims against Cook. (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 326.)

The facts here are different.

The Agreement provides that Plaintiff promises to arbitrate all employment related disputes with Mountain West "the Company" (including any company employee, officer, director, trustee, shareholder or benefit plan of the company, in their capacity as such or otherwise) arising out of, relating to, or resulting from Plaintiff's employment or relationship with the Company. (McMullin Decl., Ex. A, p. 8.) The Agreement makes the promise to arbitrate bilateral because it states that that the agreement to arbitration also applies to any disputes that the Company may have with Plaintiff. (Id.) Thus, the Arbitration Agreement is mutual in congruence with *Cook*.

On balance, Plaintiff has failed to meet his burden to show that the Arbitration Agreement should not be enforced due to unconscionability. Thus, Defendant's Motion to Compel Arbitration shall be granted.

Stay

Under the FAA, courts must stay an action where "the issue involved in such suit or proceeding is referable to arbitration under an arbitration "agreement." (9 U.S.C § 3.)

Independent of the CAA and FAA, courts have inherent authority to stay proceedings. (*Landis v. North American Co.* (1936) 299 U.S. 248, 254 ["the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants"]; *Nederlandse Erts-Tankersmaatschappij, N.V. v. Isbrandtsen Co.* (2nd Cir. 1964) 339 F.2d 440, 441 [no authority under 9 U.S.C. § 3 to stay action, but

stay permitted under district court's inherent power to control its docket]; *Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 ["Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency"].) Even assuming the CAA and FAA neither require nor authorize the court to stay the current claims, the Court would exercise its inherent authority to issue a stay.

The Arbitration Agreement expressly provides that it is governed by the Federal Arbitration Act. (McMullin Decl. ¶ 6, Ex. A at p. 7.) Under the Federal Arbitration Act, 9 U.S.C. section 1 et seq. (FAA), the court's only option in these circumstances is to stay the court proceeding and compel the arbitration. (*Rodriguez v. Am. Techs., Inc.* (2006) 136 Cal.App.4th 1110, 1115.)

Conclusion

Based on the analysis above, Defendant Mountain West's Motion to Compel Arbitration of Plaintiff's individual claims are **granted**. The Parties are ordered to submit this matter to arbitration in accordance with the terms of the Arbitration Agreement. The Court orders this matter to be **stayed in full**, pending conclusion of the arbitration.

A case management conference is scheduled for November 20, 2026 at 8:30 a.m. in Department 16 to follow-up on the status of arbitration. The Parties are ordered to appear remotely via Zoom and to prepare a case management conference statement advising on the status of arbitration. If arbitration is not concluded by that date, the parties can prepare a stipulation to continue the CMC to a future date.

17. 9:00 AM CASE NUMBER: C25-02721
CASE NAME: LUIS ARMENTA GOMEZ VS. PREYANKA KANDA
HEARING ON DEMURRER TO: CROSS-COMPLAINT
FILED BY: ARMENTA GOMEZ, LUIS RICARDO
TENTATIVE RULING:

Plaintiffs and Cross-Defendants Luis Ricardo Armenta Gomez ("Gomez"), Jesus Villa Cuevas ("Cuevas"), and Gloria Villa ("Villa" altogether, "Cross-Defendants") bring this demurrer to the cross-complaint ("Cross-Complaint") of Defendant and Cross-Complainant Preyanka Kanda ("Kanda" or "Cross-Complainant"). Cross-Defendants argue that the sole cause of action alleged in the Cross-Complaint, imposition of a resulting trust, fails to state sufficient facts to constitute a cause of action.

For the reasons discussed below, Cross-Defendants' demurrer to the Cross-Complaint's claim for imposition of a resulting trust is **OVERRULED** as to Cross-Defendants Cuevas and Villa and is **SUSTAINED** as to Cross-Defendant Gomez, with leave to amend.

Meet and Confer

The meet and confer requirement has been satisfied. (Gabriella Sembenini-Tato Decl., ¶¶ 6-8, Exhs. 3-4; Code Civ. Proc., § 430.41, subd. (a)(3)(B).) Cross-Complainant asserts that Cross-Defendants did not satisfy the meet and confer requirement. (Opposition, p. 1:17.) However, one way to satisfy the requirement is to show that the party subject to the demurrer failed to respond to a meet and confer request. (Code Civ. Proc., § 430.41, subd. (a)(3)(B).) Here, on December 22, 2025, Cross-Defendants